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GST CASE LAW COMPENDIUM

GST

**RITESH ARORA &
ASSOCIATES**

CHARTERED ACCOUNTANTS

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AUTHORED BY:

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

EXCERPTS



Whether a show cause notice under Section 73 of the CGST Act is valid if the scrutiny of returns under Section 61 read with Rule 99 is not done?



Whether fees charged by the universities for affiliation, registration, admission, and other statutory functions liable to GST as 'supply' under Section 7 of the CGST Act?



Can an adjudication under Section 74 of the CGST Act be sustained when based merely on estimated sales exceeding recorded purchases without any supporting reasoning or evidence?

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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
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ACCOUNTANTS
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Does the limitation period for filing an appeal under Section 107(1) of the GST Act commence from the date of order upload or from the date of actual communication/access on the GST portal?

It commences from the date of actual communication or when the assessee can access the order on the common portal. The Hon'ble Rajasthan High Court (Division Bench) in **M/s Sahil Steels v. State of Rajasthan & Others [D.B. Civil Writ Petition No. 11326/2025, decided on 28.08.2025, 2025: RJ-JD:38423-DB; 2025 (9) TMI 180 – Rajasthan High Court]** held that the limitation period under Section 107(1) for filing an appeal must be reckoned from the date on which the order is actually communicated to the assessee or becomes accessible on the GST portal. In this case, the petitioner challenged the rejection of its appeal on the ground of limitation. The adjudication order had been passed and uploaded on the GST portal; however, the petitioner was unable to access it because the contact details in the registration were outdated and not updated on the portal. The petitioner only came to know of the order when it received an intimation of attachment on 05.03.2025, and thereafter updated its details on 17.03.2025, gaining access to the order. The appellate authority dismissed the appeal as time-barred, computing limitation from the original date of order upload. The Hon'ble High Court observed that limitation for filing an appeal under Section 107(1) is to be counted from the date of communication of the order. "Communication" includes effective service or a situation where the assessee can reasonably access the order on the portal. If the assessee was prevented from accessing the order due to technical or contact detail issues not attributable to willful neglect, limitation cannot run against them. The Court held that in such circumstances, the appeal period would begin from 17.03.2025 (date of update and access to portal) or, at worst, from 05.03.2025 (date of receipt of attachment intimation). Consequently, the dismissal of the appeal as time-barred was set aside and the writ petition was allowed, restoring the assessee's right to appeal.

Author's Comments:

This judgment by the Rajasthan High Court adds a crucial dimension to the evolving jurisprudence on limitation under Section 107 of the GST Act. The Court has adopted a pragmatic approach by holding that the limitation period commences only from the date of actual communication or when the order becomes reasonably accessible to the assessee on the GST portal. The ruling strikes a balance between statutory compliance and procedural fairness, ensuring that taxpayers are not prejudiced due to technical or portal-related constraints.

The Court's interpretation harmonizes with the decision of the Madras High Court in *Sharp Tanks and Structurals Pvt. Ltd. v. Deputy Commissioner (GST) (Appeals) 2025 (9) TMI 1149 MADRAS HIGH COURT*, which categorically held that mere uploading of an order on the GSTN portal does not amount to "communication." Both Courts have emphasized that Section 107(1) employs the term "communicated" – a deliberate legislative choice distinct from "served" as used in Section 169. The expression "communicate," as defined in P. Ramanatha Aiyar's *Advanced Law Lexicon*, implies imparting information or ensuring it reaches the intended recipient. Uploading an order without ensuring actual or constructive knowledge to the taxpayer fails this test.

This interpretation acknowledges the practical realities of the GST ecosystem – where portal glitches, outdated contact details, or lack of active intimation often prevent assessee from knowing that an order has been passed. The ruling rightly places the burden of effective communication on the tax authorities, recognizing that taxpayers cannot be expected to vigilantly monitor the portal to discover adverse orders.

Collectively, the rulings in *Sahil Steels* (Rajasthan HC) and *Sharp Tanks* (Madras HC) reinforce a clear principle: the limitation period under Section 107 begins only when the assessee is made aware of the order through active communication or has the ability to access it, not merely when it is uploaded on the portal.



Whether a show cause notice under Section 73 of the CGST Act is valid if the scrutiny of returns under Section 61 read with Rule 99 is not done?

No, The Hon'ble Gauhati High Court in *M/s Pepsico India Holdings Pvt. Ltd. v. The Union of India and 3 Ors. [WP(C)/6960/2023, decided on 19.09.2025, GAHC010260422023; 2025 (9) TMI 1593]* the petitioner challenged the issuance of a demand-cum-show cause notice under Section 73 alleging wrongful availment of Input Tax Credit (ITC). The petitioner contended that the notice was issued without adhering to the mandatory procedural requirements prescribed under Section 61 of the CGST Act and Rule 99 of the CGST Rules. These provisions require the proper officer to undertake scrutiny of the taxpayer's returns, including reconciliation of annual returns such as GSTR-9C, identify discrepancies, and issue a prior notice giving the taxpayer an opportunity to explain or rectify such discrepancies. In this case, the petitioner argued that Table 14 of GSTR-9C, which captures certain ITC reconciliation details, was treated as optional for the relevant financial years, and they were not provided an opportunity to explain or clarify any perceived discrepancies. Despite this, the authorities directly issued a Section 73 notice demanding recovery, thereby bypassing the procedural safeguards. Furthermore, the learned Senior Counsel for the petitioner relied upon the judgment of the Rajasthan High Court in *Joint Commissioner v. Goverdhandham Estate Pvt. Ltd. [(2025) 26 Centax 401 (Raj.)]*, wherein it was held that when the show cause notice under Section 73 is founded solely on discrepancies found in the returns and not on any independent material, the proper officer is legally bound to comply with the mandate of Section 61 before invoking jurisdiction under Section 73. The Rajasthan High Court categorically held that the jurisdiction under Section 73 can be exercised only after completion of the scrutiny process under Section 61 and not otherwise. The Gauhati High Court observed that procedural compliance under Section 61 and Rule 99 is not merely technical but a mandatory precondition to ensure that the taxpayer is given a fair opportunity to respond before any recovery action is initiated. The Court held that ignoring these safeguards renders any subsequent notice or recovery action unauthorized, violative of the principles of natural justice, and without legal basis. The Court emphasized that the proper sequence—scrutiny, issuance of notice under Rule 99, opportunity to respond, and then initiation of Section 73 proceedings—is critical to uphold procedural fairness. Consequently, the Court quashed the Section 73 demand-cum-show cause notice and all consequential proceedings, declaring them invalid for lack of jurisdiction, and allowed the writ petition.

Author's Comments:

This ruling adopts a procedural interpretation of Section 73, linking its validity to prior scrutiny under Section 61 read with Rule 99. However, in the author's considered view, this approach stretches the scope of Section 61 beyond its legislative intent.

Section 61 of the CGST Act deals with scrutiny of returns—which has very limited scope, confined to discrepancies apparent from returns and related particulars furnished by the taxpayer. It neither creates a jurisdictional precondition for adjudication nor restricts the department's power to initiate independent proceedings under Section 73.

The opening words of Section 73—"Where it appears to the proper officer that any tax has not been paid or has been short paid..."—confer independent jurisdiction upon the officer to determine unpaid tax based on any credible material, whether or not discovered through scrutiny. The section does not make a prior ASMT-10 notice mandatory before invoking adjudicatory powers. Proceedings under Section 61 are pre-adjudicatory and facilitative, whereas Section 73 proceedings are determinative and adjudicatory.

This distinction was clearly explained by the Hon'ble Madras High Court in *Mandarina Apartment Owners Welfare Association v. CTO/STO [W.P. Nos. 15307 & 15330 of 2024, decided on 16.07.2024] (2024 (7) TMI 1158 - MADRAS HIGH COURT)*, which held that although the officer must issue ASMT-10 when discrepancies arise during scrutiny, such scrutiny is not a sine qua non for invoking Section 73. The Court clarified that while failure to issue ASMT-10 may vitiate the scrutiny process, it does not extinguish the power to adjudicate under Section 73 if other materials justify issuance of a show cause notice.

Therefore, while procedural fairness demands adherence to Section 61 where discrepancies stem solely from return data, its omission does not automatically invalidate subsequent proceedings under Section 73. The true test lies in whether the officer possessed an independent, lawful basis—beyond mere conjecture—to form an opinion that tax was not duly paid.

Does denial of cross-examination of third-party witness statements relied upon in GST adjudication violate principles of natural justice?

Yes, the Hon'ble Karnataka High Court in *M/s. JSW Steel Limited v. The Joint Commissioner of Central Tax and Central Excise, Bangalore & Directorate General of GST Intelligence, Delhi [Writ Petition No. 12061 of 2025 (T-RES), decided on 13.08.2025; 2025 (9) TMI 1339 – Karnataka High Court]* the petitioner, was subjected to a GST adjudication order confirming a substantial tax demand. The departmental authorities relied significantly on statements made by representatives of a third-party supplier, asserting that these statements established the petitioner's liability for tax evasion and wrongful availment of Input Tax Credit. During the proceedings, the petitioner requested the opportunity to cross-examine these third-party witnesses, arguing that the accuracy, authenticity, and relevance of their statements needed to be tested to ensure a fair adjudication. The authorities, however, denied the request, asserting that cross-examination was not a statutory requirement and that the statements alone could suffice for forming a conclusion. The petitioner contended that such refusal constituted a serious breach of natural justice, as these statements were central to the department's case and there was no independent corroborative evidence. The High Court analysed the procedural framework under the CGST Act and emphasized the fundamental principle that any adjudication impacting taxpayer liability must comply with the principles of natural justice. The Court observed that third-party witness statements, when relied upon to confirm or quantify tax liability, are material evidence and cannot be treated as conclusive without allowing the affected party to test their validity through cross-examination. Denial of this right effectively prejudiced the petitioner, leaving them unable to challenge key evidence and present a complete defense. Consequently, the Court held that the impugned adjudication order was vitiated by procedural unfairness and lacked legal sustainability. The HC set aside the order and remanded the matter for fresh adjudication, directing the authorities to provide the petitioner a full opportunity to cross-examine the third-party witnesses, submit counter-evidence, and fully present their arguments, ensuring that the proceedings adhere strictly to the principles of fairness, transparency, and natural justice.

Author's Comments:

When the department builds its entire case on the statements of third parties — often recorded behind closed doors during investigation — the taxpayer has a fundamental right to test those statements through cross-examination. Denying that right turns the process into a one-sided narrative, where unverified claims are treated as gospel truth.

In tax adjudication, especially under Section 74 of the CGST Act, statements are often the backbone of the case — they influence not just findings but also penalty and fraud allegations. The law recognizes that such statements are not automatically trustworthy. They may be made under pressure, misunderstanding, or without full knowledge of the transactions. Cross-examination is what separates allegation from evidence.

The Karnataka High Court's reasoning aligns with long-established Supreme Court precedents — from *Andaman Timber Industries v. CCE* (2015) 62 taxmann.com 3 (SC) to *Tulsiram Patel* [1985 (3) SCC 398] and *Krishnadatt Awasthy* [2025 SCC Online 179], — all of which hold that if an adjudicating authority relies on statements, then denying cross-examination of those witnesses amounts to a violation of natural justice. It is not a procedural nicety; it is a substantive right that ensures fairness and transparency.

In the author's opinion, departmental officers often misunderstand this distinction — believing that since the GST law doesn't explicitly mention cross-examination, they can skip it. But "natural justice" isn't dependent on what's written in the Act; it's inherent in every quasi-judicial process. When the outcome of a case can drastically impact a taxpayer's livelihood and reputation, procedural fairness cannot be optional.



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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
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Can parallel GST assessments for the same period be sustained, or do they amount to impermissible double taxation?

No, the Hon'ble Andhra Pradesh High Court in *Id Fresh Food (India) Private Limited v. Assistant Commissioner (ST) Penamaluru Circle, Additional Director, DGGI, Chennai Zonal Unit & Others [Writ Petition Nos. 21702 of 2024 & 12294 of 2025, decided on 10.09.2025; 2025 (9) TMI 986 – Andhra Pradesh High Court]* held that parallel assessments for the same period amount to impermissible double taxation. The Court set aside the assessment orders for 2019-2020 (dated 27.08.2024) and 2020-2021 (dated 25.02.2025), and restrained the respondents from pursuing duplicate tax liability for these assessment periods. In this case, the petitioner, a food business, faced separate assessments for the same periods on alleged misclassification of parottas and non-payment of appropriate GST. The petitioner contended that the two separate assessments for the same periods effectively imposed double taxation, violating principles of fairness and statutory procedure. The respondents argued that different assessment authorities could initiate proceedings independently. The Court observed that GST law does not permit parallel or duplicate taxation for the same period and same supply. Initiating multiple proceedings for the same liability would result in overreach and breach of taxpayer rights. Accordingly, the Court quashed the impugned assessment orders for 2019-20 and 2020-21 and prohibited the authorities from pursuing any duplicate claims for these periods.

Author's Comments:

The concept of "one tax, one adjudication" for a given period is central to the structure of the GST regime, which seeks to avoid duplication of proceedings by multiple authorities for the same taxable event. Section 6(2)(b) of the CGST Act acts as a statutory check – once proceedings have been initiated by a proper officer under the SGST or UTGST Act on a particular subject matter, the corresponding CGST officer is barred from initiating separate proceedings on that same issue. However, this restriction is not an absolute bar; it is conditional upon identity of the subject matter and cause of action.

In the author's view, what Section 6(2)(b) intends to prevent is overlapping adjudication, not legitimate parallel jurisdiction over distinct issues within the same period. For instance, if one proceeding pertains to classification while another pertains to ITC eligibility, the two may validly coexist. But where both are founded on the same alleged non-payment or misclassification for the same supply, the second proceeding becomes a form of double jeopardy – legally impermissible and contrary to the doctrine of fairness in taxation.

Importantly, the Hon'ble Supreme Court in *M/s Armour Security (India) Ltd. v. Commissioner, CGST, Delhi East Commissionerate & Anr. [2025 (8) TMI 991 – SC]* clarified that "parallel proceedings" under GST must be avoided unless they arise from distinct causes of action supported by independent factual bases. The Court emphasized coordination between Centre and State authorities to prevent harassment and ensure procedural discipline.



Whether fees charged by the universities for affiliation, registration, admission, and other statutory functions liable to GST as 'supply' under Section 7 of the CGST Act?

No, the Hon'ble Karnataka High Court in **M/s Bengaluru North University, M/s Rajiv Gandhi University of Health Sciences, and M/s Visvesvaraya Technological University v. Joint Commissioner & Others [W.P. No. 4254 of 2024 (T-RES) c/w W.P. No. 26064 of 2023 (T-RES) & W.P. No. 26067 of 2023, decided on 22.04.2025, 2025:KHC:16686; 2025 (9) TMI 385 – Karnataka High Court]** held that the activities of universities performed under statute are regulatory in nature and do not constitute a "supply" under Section 7 of the CGST Act. Fees collected towards affiliation, PG registration, admission, convocation, and similar charges are not consideration for supply of service and are exempt under Entry 66 of Notification No. 12/2017-CT(R). In this case, the petitioners – statutory universities – challenged show-cause notices and demands for GST on fees charged for various activities such as affiliation, registration, admission, and convocation. The department relied on CBIC Circulars dated 17.06.2021 and 11.10.2024 to contend that such fees constituted taxable consideration for services provided by the universities. The petitioners argued that their activities were sovereign/regulatory functions performed under the Universities Act and not in the nature of commercial services.

The Hon'ble High Court observed that the primary object of a university is to regulate, supervise, and promote education, and the fees charged for affiliation, registration, and admission are statutory in character, not arising out of any commercial contract. Since such activities are carried out in discharge of statutory obligations, they cannot be treated as "supply" under Section 7. The Court further held that Entry No. 66 of Notification No. 12/2017-CT(R) exempts services provided by educational institutions in respect of education up to higher secondary school or equivalent, as well as services relating to admission to, or conduct of examination by, educational institutions. Accordingly, the impugned circulars were declared invalid, and consequential show-cause notices and orders were quashed.

Author's Comments:

This decision marks a significant judicial development in interpreting the scope of "supply" and "business" under the CGST Act. Section 7 of the Act defines "supply" in connection with activities undertaken "in the course or furtherance of business." Hence, determining whether a transaction qualifies as a "business" under Section 2(17) becomes foundational. The term "business," though defined expansively, must still retain its commercial essence. The inclusion of expressions like trade, commerce, manufacture, profession, vocation, adventure, wager, or "any other similar activity" indicates that the legislature intended to cover only such activities possessing an underlying element of commerce or pecuniary gain. The phrase "any other similar activity" must be read ejusdem generis, relating only to activities of a like commercial character – not to sovereign, regulatory, or statutory functions.

In this context, the Court's finding that statutory universities discharge regulatory and supervisory functions under the Universities Act, rather than engaging in commercial activity, is consistent with earlier judicial precedents. The Delhi High Court in *Central Electricity Regulatory Commission v. ADG, DGGI* [2025 (1) TMI 887] held that regulatory functions of statutory authorities cannot be equated with business, since such bodies act as extensions of the sovereign and not as market participants. Similarly, the Hon'ble Supreme Court in *Commissioner of Sales Tax v. Sai Publication Fund* [(2002) 4 SCC 57] observed that where the main activity is not a business, any incidental or ancillary transaction would not automatically assume the character of business unless there exists an independent commercial intent.

However, this decision opens the door to wider litigation. The definition of "business" under Section 2(17) is deliberately broad – encompassing even activities "whether or not for pecuniary benefit." Courts have now begun to carve out a doctrinal boundary between commercial activity and statutory function, thereby narrowing the interpretation of "in the course or furtherance of business."

Following the Bombay High Court's ruling in *Goa University v. Joint Commissioner of CGST & Ors.* [W.P. No. 723/2024, dated 15.04.2025], this judgment further solidifies the view that regulatory or statutory functions, even if accompanied by collection of fees, do not amount to business or supply. It will be interesting to see how this judicial trend evolves, especially in cases involving statutory bodies performing functions under law – whether such activities continue to be treated as non-commercial, or whether the revenue seeks to challenge this interpretation before higher forums.

Can an appellate order decided on merits be recalled or modified under Section 161 of the GST Act?

No, the Hon'ble Allahabad High Court in **Opasil Pigments and Chemicals (P) Ltd. & M/s Shyam Enterprises v. State of U.P. & Others** [Writ Tax No. 613 of 2020 with Writ Tax No. 604 of 2020, decided on 04.09.2025, 2025: AHC:156782; 2025 (9) TMI 467 – Allahabad High Court] held that Section 161 cannot be invoked to recall or re-examine an appellate order decided on merits, and rectification under this provision is strictly confined to errors apparent on the face of the record. In this case, the petitioners challenged rectification orders passed by the Proper officer under Section 161, which purported to modify earlier appellate orders passed in their favour. The department contended that certain errors in calculation and interpretation warranted rectification. The petitioners argued that Section 161 is meant only for correcting clerical or arithmetic mistakes or errors that are self-evident and not for reappraising the merits of an adjudicated case. The Hon'ble High Court observed that Section 161 is a limited provision enabling rectification of errors "apparent on the face of the record," and cannot be used to reopen issues requiring detailed examination or reasoning. Reliance was placed on Supreme Court precedents establishing that non-self-evident errors do not qualify for rectification. The Court held that the department's rectification applications were improperly filed to challenge the merits of an appellate order instead of pursuing statutory remedies like revision or appeal. Consequently, the rectification orders were quashed, the original appellate orders allowing the appeals were restored, and the writ petition was allowed.

Author's Comments:

This decision reinforces the narrow ambit of Section 161 of the CGST Act, which is confined to rectification of errors "apparent on the face of the record." The Court has rightly clarified that this provision cannot be stretched to review, recall, or modify an order passed on merits. Rectification can be invoked only when an error is patent, self-evident, and does not require elaborate reasoning or reappraisal of facts. An apparent mistake is one that stares at the face of the record—obvious, conspicuous, and beyond reasonable debate. Once an authority has exercised its quasi-judicial discretion and passed a reasoned order, reopening it under Section 161 amounts to reviewing the merits, which the statute does not permit.

The judgment gains particular significance in the context of increasing departmental tendencies to use Section 161 as a "corrective" weapon to undo unfavourable appellate orders. Such practice strikes at the heart of administrative fairness and undermines the principle of finality in adjudication. Rectification, by its very nature, cannot substitute or obliterate the original order; it only corrects manifest errors without altering the substance of the decision. By attempting to substitute the earlier order, the department effectively sought to perform a review under the guise of rectification—an exercise alien to the statutory framework of GST.

The proper remedy against an erroneous appellate order is to invoke the statutory appellate or revisional mechanism, not to reopen concluded proceedings through a misconceived invocation of Section 161.



Does the limitation period under Section 107 of the GST Act start from the date the order is uploaded on the GST portal, or from the date the order is communicated to the taxpayer?

The limitation period under Section 107 begins only from active communication to the taxpayer. The Hon'ble Madras High Court in **Sharp Tanks and Structural Private Limited, Rep. by its Authorised Rep. Smt. Nisha Menon v. The Deputy Commissioner (GST) (Appeals), The State of Tamil Nadu & Others [W.P. (MD) Nos. 24684 & 24685 of 2025; WMP(MD) Nos. 19379, 19381, 19393 & 19394 of 2025, decided on 17.09.2025; 2025 (9) TMI 1149 – Madras High Court]** held that mere uploading of an appellate order on the GSTN portal does not constitute communication. The limitation for filing an appeal under Section 107 commences only when the order is actively communicated to the assessee by the authority. In this case, the petitioner challenged appellate orders issued in their GST proceedings, contending that the limitation for filing an appeal should start from the date of upload on the GST portal. The respondents argued that uploading on the portal sufficed as communication. The petitioner countered that they were unaware of the order until they received formal communication and had no statutory obligation to monitor the portal. The Court observed that Section 107 requires the order or decision to be actively communicated to the assessee. The statutory language differentiates between “served” and “communicated,” and uploading on the portal does not meet the requirement of active communication. The Court held that the limitation period cannot run from the date of upload, and the petition was disposed of accordingly.

Author's Comments:

This judgment settles a recurring controversy in GST litigation – whether mere uploading of an order on the GST portal constitutes “communication” for the purpose of computing limitation under Section 107 of the Act. The Court has rightly drawn a sharp distinction between service and communication, observing that the statute consciously employs two different expressions to denote distinct legal concepts. While Section 169 of the CGST Act governs the service of notices or orders, Section 107(1) specifically uses the term “communicated,” thereby requiring an active act of intimation by the authority to the assessee.

The decision underscores that uploading an order on the GSTN portal, without any further act of intimation, cannot be treated as communication. The word “communicate,” as judicially interpreted and defined in P. Ramanatha Aiyar's Advanced Law Lexicon, implies imparting or transmitting information – a bipartite act that presupposes that the information has reached the intended recipient. The Court's reasoning also draws strength from Section 122 of the Indian Evidence Act, which similarly interprets “communication” as the act of sharing knowledge or information from one person to another.

This interpretation brings welcome relief to taxpayers who have often suffered adverse consequences due to non-receipt of portal-uploaded orders. The ruling makes it clear that there is no statutory obligation on the taxpayer to monitor the portal on a daily basis, and the onus to communicate the order rests squarely on the department. Unless the order is actively brought to the notice of the assessee through any recognized mode – such as email, registered post, or personal delivery – limitation does not commence.



Whether detention of goods under GST can be quashed when the driver's on-record statement remains unrebutted?

No, the Hon'ble Allahabad High Court in *M/s Aasar Scrap Traders v. State of U.P. & Others [Writ Tax No. 1223 of 2023, decided on 22.09.2025; 2025 (9) TMI 1337 – Allahabad High Court]*, the petitioner challenged the detention of scrap materials by the authorities, claiming that the goods were being transported from Aligarh and that the documents and statements relied upon by the tax officials were either incorrect or fabricated. The petitioner argued that the detention was arbitrary and that the authorities had wrongly relied on the driver's statement to assert the movement of goods. The facts revealed that the authorities had detained the goods based on the contemporaneous statement of the driver, who confirmed that the scrap had been loaded at the Iglass godown and transported through a specified route to its destination. The driver's statement was recorded at the time of inspection and was treated as material evidence for verification of the movement of goods. The petitioner attempted to rebut this by providing alternative documents and explanations suggesting a different origin or route for the goods, but no evidence was presented to show that the driver's statement was coerced, fabricated, or that his signature was forged. The Court observed that the driver's contemporaneous statement was credible, unrebutted, and sufficient to establish the legality of the authorities' action. The subsequent documentary explanations submitted by the petitioner were found inadequate to cast doubt on the authenticity of the original statement. The High Court emphasized that detention orders are valid when based on verifiable and contemporaneous evidence and are not arbitrary. As a result, the HC held that the detention of goods was lawful and required no interference. The writ petition was dismissed.

Author's Comments:

This judgment serves as a powerful reminder of how critical contemporaneous evidence is in GST enforcement proceedings. When a driver's statement – recorded on the spot during interception – goes unrebutted, it effectively becomes the cornerstone of the department's case. Under Section 58 of the Indian Evidence Act, facts that remain undisputed require no further proof. Therefore, if the taxpayer fails to timely rebut or challenge such a statement (for instance, by alleging coercion, fabrication, or by seeking cross-examination), the statement acquires a presumption of truth and can be legitimately relied upon to justify detention.

From a practical standpoint, this case highlights the importance of the taxpayer's first response. The inspection stage is not a mere procedural formality – it is where the evidentiary foundation is laid. Silence or delay at that stage can later close crucial legal doors. Even if documents like e-way bills or invoices appear proper, once the driver's statement contradicts them and remains unchallenged, courts are inclined to side with the contemporaneous statement because of its proximity to the event and its evidentiary reliability.

At the same time, officers must also remember that their power under Section 68 read with Rule 138A is limited. Once the transport documents are verified, they cannot embark on a full-scale investigation unless authorized under Section 67. The Supreme Court's principle in *Nazir Ahmad v. King Emperor (AIR 1936 PC 253)* still governs – if the law prescribes a specific manner of doing something, it must be done only in that manner.

In the author's view, this case demonstrates both a procedural lapse by the taxpayer (failure to rebut the driver's statement) and an overreach risk by officers who conflate interception with investigation.



Whether provisional attachment of bank accounts under Section 83 of the CGST Act is sustainable without recording a reasoned opinion?

No, The Hon'ble Allahabad High Court in *M/s Soraza Recycling Private Limited v. Union of India and 4 Others* [Writ Tax No. 4630 of 2025, decided on 22.09.2025, 2025: AHC:170051-DB; 2025 (9) TMI 1455] the petitioner challenged the provisional attachment of its bank accounts by GST authorities under Section 83 of the CGST Act. The attachments were issued despite there being no pending proceedings under Section 74, which deals with determination of tax not paid or erroneously claimed, and without any record of a reasoned opinion justifying such extreme action. The petitioner contended that these attachments were arbitrary, excessive, and had severely affected the business operations by blocking liquidity. The Court noted that the power of provisional attachment under Section 83 is extraordinary in nature and is designed to protect revenue in cases of likely tax evasion or risk to collection, but it must be exercised with caution, transparency, and on the basis of a tangible formation of opinion supported by material evidence. In this case, the authorities had failed to record any such opinion or provide reasons for the attachment, making the action unjustified. Further, the absence of any ongoing proceedings under Section 74 meant there was no immediate threat to revenue that could warrant pre-emptive attachment. The High Court observed that such arbitrary exercise of power, without adherence to statutory safeguards, constitutes a violation of natural justice and can paralyze the petitioner's business operations. Accordingly, the Court quashed the two provisional bank account attachment notices issued under Section 83 and directed that the accounts be released within 48 hours. Regarding the electronic credit ledger, the Court directed the authorities to consider the petitioner's representation, provide an opportunity for personal hearing, and pass a reasoned order within two weeks. The writ petition was thus disposed of.

Author's Comments:

This judgment underscores one of the most critical checks on administrative power under GST — the “formation of opinion” requirement under Section 83 is not a formality, but a substantive safeguard. Provisional attachment is among the harshest powers vested in tax authorities — it freezes a taxpayer's working capital, disrupts operations, and can cripple a running business. Therefore, courts have consistently insisted that such power be exercised sparingly, transparently, and only upon a reasoned and demonstrable satisfaction that the action is necessary to protect government revenue.

The Commissioner's “opinion” cannot be mechanical or based on vague apprehensions. It must be supported by tangible evidence showing an imminent risk that the taxpayer may dissipate assets or frustrate recovery efforts. Anything less than that renders the action arbitrary.

The Hon'ble Supreme Court in *Radha Krishan Industries v. State of Himachal Pradesh* (2021) 6 SCC 771, held that provisional attachment under Section 83 is preventive, not punitive, and cannot be used to pressurize taxpayers or pre-empt recovery before adjudication is complete. The Commissioner must independently apply his mind to the material available and record reasons reflecting a live nexus between the taxpayer's conduct and the risk to revenue.

In the author's opinion, this case once again exposes how routine and mechanical invocation of Section 83 has become a tool of harassment rather than a measure of protection. Merely citing “interest of revenue” or copying extracts from investigation reports does not meet the statutory test of reasoned satisfaction. When such satisfaction is missing, the attachment is not just irregular — it is void ab initio.



Can an adjudication under Section 74 of the CGST Act be sustained when based merely on estimated sales exceeding recorded purchases without any supporting reasoning or evidence?

No, the Hon'ble Allahabad High Court in **M/s Raj Trading Company v. State of U.P. & Others [Writ Tax No. 2489 of 2024, decided on 02.09.2025; 2025 (9) TMI 592 – Allahabad High Court]** held that a Section 74 assessment fixing evaded sales arbitrarily above recorded purchases, without providing the assessee an opportunity of hearing or reasoned basis, is procedurally unfair and unsustainable. The Court quashed the impugned assessment and remanded the matter for fresh consideration. In this case, the petitioner challenged proceedings under Section 74 of the UP GST Act, wherein the tax authorities had determined evaded sales at Rs. 2,50,00,000, despite the petitioner's records showing evaded purchases of only Rs. 1,15,60,493. The petitioner argued that the fixation of evaded sales without considering factual records and without providing an opportunity of being heard was arbitrary and violated natural justice. The department contended that the assessment was based on available records and audit findings. The Hon'ble High Court observed that Section 74 proceedings, which deal with tax evasion, require a reasoned determination based on evidence and give the taxpayer an opportunity to present their case. Fixing evaded sales significantly above recorded purchases without explanation or hearing constitutes arbitrariness. The Court noted that the prior appellate fixation of tax, interest, and penalty totaling Rs. 1,46,70,000 was also set without lawful basis. Consequently, the impugned orders were quashed, and the matter was remanded to the authorities for fresh consideration in accordance with law.

Author's Comments:

This judgment reaffirms a fundamental principle — that adjudication under Section 74 cannot rest on conjecture or estimation, but must be grounded in tangible and corroborative evidence. Section 74 proceedings are quasi-judicial in nature and can only be invoked when there is a clear finding of fraud, willful misstatement, or suppression of facts — each of which must be proved, not presumed. Under the self-assessment regime, the burden of proof squarely lies on the Revenue in respect of allegations of tax evasion or suppression of outward supplies. Therefore, unless the department can substantiate the alleged evaded turnover through reliable material, mere mathematical extrapolation or estimation above recorded purchases cannot stand scrutiny.

In essence, estimation cannot substitute evidence. The adjudicating authority must demonstrate the chain of reasoning linking alleged unrecorded purchases to suppressed sales. The moment this reasoning is missing, the adjudication becomes arbitrary. In the author's view, proving suppression of outward supply in a self-assessment system is inherently difficult — unless backed by concrete evidence and evidence is one- which proves something beyond contemporaneous records of the taxpayer. Hence, every estimation-based order under Section 74, if devoid of reasoning or evidence, is vulnerable to being struck down as legally unsustainable.



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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

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&A**
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Whether refund of unutilized ITC can be claimed on account of closure of business despite it not being covered under Section 54(3) of the CGST Act?

No, the Hon'ble Sikkim High Court in *Union of India, through the Secretary, Department of Revenue, Ministry of Finance, New Delhi & Ors. v. SICPA India Private Limited and Another v. Union of India and Others [W.A. No. 02 of 2025, decided on 05.09.2025; 2025 (9) TMI 537 – Sikkim High Court]* held that refunds under Section 49(6) of the CGST Act are permissible only in accordance with Section 54, and that accumulated ITC on discontinuance of business or other circumstances must be reversed under Section 29(5) before any refund can be claimed. The Court rejected the claim for Rs. 4,37,61,402 for failure to produce evidence of ITC reversal or compliance with statutory procedures. In this case, the Revenue challenged the Single Member bench judgment that had allowed the refund claim of the petitioner. The petitioner contended that accumulated ITC could be refunded under Section 49(6), without strictly adhering to Section 54 refund procedures or ensuring reversal under Section 29(5). The department argued that Section 49(6) cannot be invoked independently of Section 54 and that proper reversal of input tax credit under Section 29(5) is a precondition for claiming refund. The Hon'ble High Court observed that Section 49(6) deals with utilization of ITC for discharge of tax liability and its refund "in accordance with" Section 54. Further, Section 29(5) requires reversal of ITC in specified situations such as discontinuance of business, sale of business assets, or non-payment of consideration. The Court noted that the petitioner did not furnish any evidence to demonstrate reversal of ITC as mandated under Section 29(5), and therefore the claim lacked statutory foundation. The Court allowed the Revenue's appeal, set aside the Single Member bench order, dismissed the writ petition, and held that there was no violation of constitutional or statutory provisions in denying the refund.

Author's Comments:

This decision reinforces the legislative intent that refund of unutilized ITC is a statutory right, not an equitable one, and must strictly conform to the contours of Section 54 of the CGST Act. While Section 49(6) refers to refund of balance in the electronic credit ledger, it does so "in accordance with Section 54," thereby subordinating itself to the procedural and substantive limitations contained therein. Section 54(3) begins with a restrictive clause – "No refund of unutilised input tax credit shall be allowed except..." – limiting refund entitlement to only two cases: (i) zero-rated supplies made without payment of tax, and (ii) accumulation due to an inverted duty structure. Closure or discontinuance of business is not among these scenarios, which makes such refund claims legally unsustainable.

The Court's emphasis on the interlinkage between Sections 49(6), 54(3), and 29(5) is crucial. Section 29(5) read with Rule 44 mandates reversal of ITC on inputs and capital goods upon cancellation of registration, signifying the legislative intent that unutilized credits must lapse, not be refunded, when business operations cease. This structure ensures that refund operates as an exception, not a default outcome. The petitioner's failure to show compliance with Section 29(5) and Rule 44 effectively deprived its claim of any statutory foundation.



Can an assessment order passed beyond the scope of the original show-cause notice be sustained?

No, the Hon'ble Madras High Court in *Tvl. Easyway Logistics, represented by its Partner, Mr. P. Bhupathi v. The Assistant Commissioner (ST), Chennai [W.P. No. 31922 of 2025 and W.M.P. No. 35742 of 2025, decided on 28.08.2025; 2025 (9) TMI 387 – Madras High Court]* held that an assessment order passed beyond the scope of the original show-cause notice is unsustainable, but instead of setting aside the order, allowed the petitioner an opportunity to reply, treating the impugned order as a show-cause notice. In this case, the petitioner challenged the assessment order dated 12.02.2025 on the ground that it travelled beyond the original show-cause notice and that no proper show-cause notice had been issued detailing the proposals against the petitioner. The petitioner had also not filed any reply before the assessing officer, leading to confirmation of tax demand. The department argued that the petitioner had adequate opportunity but failed to avail it. The Hon'ble High Court observed that principles of natural justice require issuance of a proper show-cause notice indicating the grounds of proposed demand, so that the taxpayer can file an effective reply. As the impugned order contained reasons and findings beyond the original notice, it was unsustainable to that extent. However, rather than quashing the order outright, the Court adopted a balanced approach and directed that the assessment order dated 12.02.2025 be treated as a show-cause notice. The petitioner was granted four weeks' time from the date of receipt of the order to submit a detailed reply, after which the assessing officer was directed to pass a fresh order on merits and in accordance with law.

Author's Comments:

Section 75(7) of the CGST Act serves as a crucial safeguard, ensuring that the scope of adjudication remains strictly confined to the "grounds" stated in the SCN, without any expansion, modification, or alteration. In earlier tax legislations, the absence of such an express safeguard often led to situations where Proper Officers exceeded the boundaries of the SCN, confirming demands on issues that were never put to notice for the taxpayer. Recognizing this concern, the Hon'ble Supreme Court in *Commissioner of Customs, Mumbai v Toyo Engineering India Limited [Writ No. 2532 of 2001, dated August 31, 2006]* unequivocally held that the Department cannot go beyond the scope of the SCN.

In the present case, while the Hon'ble Madras High Court rightly acknowledged that the assessment order exceeded the scope of the original SCN and therefore violated the principles of natural justice, its approach of treating the assessment order itself as a de facto SCN is debatable. Once the terms of the lis are crystallized through issuance of a proper SCN, there is no legal or procedural basis to allow the revenue a "second chance" to expand or modify the grounds of demand. By permitting the assessment order to function as a new SCN, the Court effectively allowed retroactive expansion of the adjudicatory scope, which undermines the protective intent of Section 75(7).



Can a show-cause notice and tax demand be validly issued in the name of a deceased proprietor without notice to the legal representative under Section 93 of the GST Act?

No, the Hon'ble Allahabad High Court (Division Bench) in **Mudit Gupta (Legal Heir to Pushpa Gupta) v. State of U.P. & Others [Writ Tax No. 4277 of 2025, decided on 01.09.2025, 2025: AHC:153400-DB; 2025 (9) TMI 181 – Allahabad High Court]** held that issuance of show-cause notice and tax determination order in the name of a deceased proprietor is invalid, as Section 93 of the GST Act specifically provides for proceedings to be initiated against the legal representative of the deceased. In this case, the department issued a show-cause notice and passed an order of tax determination and cancellation of registration in the name of the deceased sole proprietor. The petitioner, who was the legal heir, challenged the proceedings on the ground that no notice or opportunity of hearing had been given to the legal representative as required under law. The department contended that the proceedings were initiated based on records available and that the liability pertained to the deceased's business activity. The Hon'ble High Court observed that Section 93 of the CGST/SGST Act deals with liability of a deceased person and expressly contemplates that, where a taxable person dies, any tax, interest or penalty due shall be recovered from the legal representative, to the extent of the estate inherited. Accordingly, it is mandatory to issue notice to the legal representative and afford an opportunity to contest the proceedings. Issuing a show-cause notice and passing orders in the name of a dead person is a nullity in law and violates principles of natural justice. The Court quashed the impugned tax determination and consequential cancellation order, holding them unsustainable.

Author's Comments:

The Allahabad High Court has unequivocally clarified that a show-cause notice or tax determination cannot be issued in the name of a deceased person. Section 93 of the CGST/SGST Act allows recovery of dues from the legal representative of a deceased taxpayer, but it does not authorize the initiation of adjudication or determination proceedings against the deceased. Any action taken against a deceased proprietor is, therefore, a nullity in law.

The analogy drawn from Order XXII Rule 1 CPC is apt—if the right to sue does not survive, proceedings against the deceased individual stands abated upon their demise. Similarly, Section 169 of the CGST Act on service of notice presupposes that the recipient is a living, identifiable person capable of responding. A notice addressed to a dead person can never amount to valid service.

Section 93 merely enables recovery from legal representatives once liability is determined. It does not empower initiation of adjudication or determination proceedings against a deceased person. This closes the door on the common departmental practice of issuing SCNs in the name of deceased proprietors merely because the registration remained in their name.

The reliance on CIT v. Scindia Steam Navigation Co. Ltd. (1961 AIR SC 1633) also underlines the larger principle that mandamus or enforcement cannot lie where a proceeding itself is fundamentally defective, as in the case of a notice issued to a person no longer in existence.



Can orders passed under Section 73 of the GST Act along with equal penalty be sustained when the taxpayer has produced evidence of genuine outward supplies and authorities fail to consider such evidence?

No, the Hon'ble Allahabad High Court in *M/s Subhash Chand and Company v. State of U.P. & Others [Writ Tax No. 513 of 2022 with Writ Tax No. 556 of 2022, decided on 01.09.2025, 2025: AHC:153353; 2025 (9) TMI 182 – Allahabad High Court]* set aside the orders passed under Section 73 of the GST Act and the equal penalty imposed thereunder, holding that failure of authorities to verify taxpayer's evidence and ignoring submissions amounts to breach of natural justice. In this case, the proceedings under Section 73 were initiated on the allegation that the petitioner had shown inward supplies from a non-existent firm and wrongly availed input tax credit. The petitioner produced before the authorities' complete documentary evidence including tax invoices, e-way bills, bank statements and related records showing that it had made genuine outward supplies and duly paid the tax. Despite such evidence, the adjudicating authority confirmed the demand and equal penalty without proper verification or consideration of the material placed on record, and the appellate authority also upheld the order mechanically. The Hon'ble High Court observed that the impugned orders were passed in violation of principles of natural justice, as relevant evidence produced by the petitioner was not dealt with or rebutted by the authorities. The Court emphasized that Section 73 proceedings are quasi-judicial in nature and require proper evaluation of documents and submissions before fastening liability. Since the authorities failed to verify the petitioner's records and proceeded merely on presumptions regarding non-existent suppliers, the orders suffered from non-application of mind and could not be sustained. Accordingly, the orders passed under Section 73 along with the equal penalty were quashed and the petitions were allowed.

Author's Comments:

Section 73 proceedings are quasi-judicial in nature, and the proper officer is duty-bound to apply mind, examine evidence, and record clear findings on each contention raised by the taxpayer. When the taxpayer produces documents like invoices, e-way bills, bank statements, and outward supply records, it becomes the department's obligation to verify their genuineness through objective inquiry rather than dismissing them mechanically.

From a legal perspective, the equal penalty imposed alongside the demand also appears questionable. Section 73(1) itself does not create a charging mechanism for penalty; it merely allows for its inclusion where applicable under the Act or Rules – typically under Section 122(2)(a). Moreover, Section 73 is intended for cases without elements of fraud, wilful misstatement, or suppression, whereas the department's entire allegation of "fake ITC" stems from the supplier's non-existence – a circumstance that, if true, would fall under Section 74, not Section 73. Thus, invoking Section 73 in such cases reflects a fundamental jurisdictional defect and an incorrect understanding of the statutory scheme.



Can an excess deposit made pursuant to proceedings u/s 71 of the SGST Act be adjusted at the time of adjudication or against other outstanding dues or refunds of the taxpayer?

Yes, the Hon'ble Chhattisgarh High Court in ***Siddhant Steels Through Its Proprietor Sajan Agrawal v. State of Chhattisgarh & Others [W.P.(T) No. 85 of 2025, decided on 19.08.2025, 2025: CGHC:41760; 2025 (9) TMI 110 – Chhattisgarh High Court]*** held that any excess deposit made under Section 71 of the SGST Act, 2017 may be adjusted at the stage of final adjudication or against any other dues payable/refundable to the petitioner-firm. In this case, the petitioner challenged the inaction of the department after it had conducted an inspection of its premises under Section 71 of the SGST Act, 2017 and collected a substantial amount as deposit. The petitioner contended that despite the deposit, no further proceedings were initiated, leaving the amount blocked indefinitely and causing financial hardship. The State argued that the deposit was voluntary and would be accounted for at the time of adjudication, whenever initiated. The Hon'ble High Court observed that once an amount is deposited pursuant to inspection under Section 71, it is the duty of the authorities to initiate adjudication proceedings expeditiously to determine the final liability, if any, and adjust the deposit accordingly. Prolonged withholding of the taxpayer's funds without concluding proceedings is unjustified. The Court therefore directed that the excess deposit, if any, shall be adjusted at the stage of adjudication or against any other dues payable/refundable to the petitioner-firm, and emphasized that the department must act with due expedition in completing proceedings arising from such inspections. The writ petition was accordingly disposed of with directions.

Author's Comments:

Section 71 of the SGST Act is essentially an enabling or machinery provision that permits access to a taxpayer's premises, books, and records for verification, audit, or inspection — but it does not independently authorize determination or recovery of tax. The provision must operate in conjunction with substantive provisions such as Sections 65 (Audit), 66 (Special Audit), or 67 (Inspection, Search, and Seizure). In other words, Section 71 facilitates examination of records but cannot, by itself, trigger demand or collection proceedings.

In the present case, the deposit made during the course of inspection under Section 71 ought to have been treated only as a temporary deposit, subject to final adjudication under the appropriate provision. However, from a litigation strategy standpoint, the petitioner could have questioned the very legality of proceedings under Section 71, since it cannot be invoked in isolation. If no proper authorization or reference to a substantive provision like Section 67 existed, the inspection itself could be termed *ultra vires*, rendering any payment extracted thereunder without jurisdiction.

Further, the so-called "voluntary" nature of deposit under Section 74(5) often comes under scrutiny. True voluntariness requires free consent, without coercion or departmental pressure. In essence, while the Court's direction for adjustment of the deposit provides partial relief, the larger takeaway is that Section 71 should never be used as a standalone weapon of recovery. Its function is investigative, not adjudicatory — and any attempt to treat it otherwise is procedurally flawed and legally unsustainable.



Can a penalty under Section 129 of the GST Act be sustained merely on alleged misclassification when e-invoice, e-way bill, and transport documents are in order?

No, the Hon'ble Allahabad High Court in *M/s Maa Tara Enterprises v. State of U.P. & Others [Writ Tax No. 3857 of 2025, decided on 13.08.2025, 2025: AHC:137772; 2025 (9) TMI 108 – Allahabad High Court]* held that detention and penalty imposed under Section 129 of the UP GST Act on the sole ground of alleged misclassification cannot be sustained when the goods were accompanied by a valid e-invoice, e-way bill, and transport documents and there was no discrepancy in quantity or quality of goods.

In this case, the petitioner's goods were intercepted during transit and detained under Section 129 of the Act. The authorities alleged that the goods were misclassified under a lower tax rate heading and imposed penalty on the basis of possible undervaluation of tax. The petitioner argued that all statutory documents including e-invoice, e-way bill, and bulity were duly produced at the time of interception, the description of goods was accurate, and there was no mismatch in quantity, weight, or value. It was contended that misclassification, if any, is an interpretational issue and cannot be the basis for penalty under Section 129, which applies to cases of movement without proper documents or discrepancies in goods. The Hon'ble High Court observed that Section 129 is a machinery provision meant to address transportation of goods without documents or in cases of quantity/quality mismatch. Misclassification of goods, absent any evidence of fraud or intent to evade tax, does not fall within the ambit of detention and penalty provisions. The Court relied on earlier decisions holding that speculative allegations of undervaluation or misclassification cannot trigger seizure or penalty under Section 129. As the goods were duly supported by valid documents and no discrepancy was found, the orders dated 04.01.2025 and 22.05.2024 imposing penalty were quashed and the petition was allowed.

Author's Comments:

This judgment is a much-needed reminder that GST enforcement has to work within clear legal boundaries. Field officers on the road are meant to verify documents — not to interpret tax law or decide whether a product is correctly classified. Section 129 is there to deal with goods being transported without documents, or when there's a clear mismatch in quantity or description. It's not meant for subjective issues like classification or rate of tax, which require detailed examination and proper adjudication under Sections 73 or 74.

In this case, the officers went beyond their powers by alleging "misclassification" even though all documents — e-invoice, e-way bill, and bilty — were in order. This kind of overreach creates unnecessary hardship for genuine taxpayers and clogs the system with avoidable litigation. As the Kerala High Court in *Hindustan Coca-Cola Pvt. Ltd.* rightly said, misclassification alone cannot be a reason to detain goods. Even the UP GST Department, through its own circular (dated 09.05.2018), has instructed officers not to stop consignments for issues like classification or undervaluation but to report such matters to the jurisdictional authority.

The takeaway is simple — roadside officers should focus on movement-related compliance, not interpret the tax law. Classification disputes belong in the adjudication room, not at highway check-posts. This distinction protects both revenue interests and taxpayer rights, ensuring the GST system functions fairly and efficiently.



Whether seizure of goods is sustainable when the delivery challan was produced before the authorities and no finding of tax evasion was recorded?

No, The Hon'ble Allahabad High Court in *M/s Sagar Constructions v. State of Uttar Pradesh and 2 Others [Writ Tax No. 3196 of 2025, decided on 01.09.2025, 2025: AHC:152947; 2025 (9) TMI 1384]* the petitioner was transporting an excavator accompanied by a valid e-way bill, which fully complied with the GST provisions for movement of goods. During transit, the vehicle was intercepted by GST authorities who alleged irregularity because the delivery challan was not immediately produced at the point of inspection. Relying on this alleged deficiency, the authorities seized the excavator and initiated consequential proceedings against the petitioner, treating the movement as irregular and potentially in violation of tax laws. The petitioner contended that the seizure was arbitrary and unjustified since the e-way bill was valid, taxes had already been discharged, and the goods belonged to the consignor. Importantly, before the issuance of the formal seizure order, the petitioner produced the relevant delivery challan, which was accepted by the first appellate authority as valid evidence of compliance under GST. The High Court emphasized that seizure and penal action can only be justified if there is a clear finding of tax evasion or an attempt to evade tax. In the present case, there was no evidence suggesting any evasion, fraudulent intent, or suppression of facts. The authorities had acted mechanically, relying solely on the temporary absence of a document at the point of inspection, without considering subsequent compliance and the fact that the e-way bill covered the movement. Consequently, the Court held that the seizure and all related proceedings were unsustainable in law, arbitrary, and devoid of any legal foundation. The impugned seizure order was quashed, and all consequential proceedings were set aside.

Author's Comments:

This judgment highlights an essential but often overlooked principle — GST enforcement must distinguish between procedural lapses and intentional evasion. The power to seize goods under Section 129 is meant to protect revenue from fraudulent movement of goods, not to penalize every clerical or documentary oversight. When taxes are duly paid and the e-way bill is valid, temporary non-production of a delivery challan at the time of inspection cannot, by itself, justify seizure or penalty.

The Court's reasoning reinforces the spirit of Circular No. 64/38/2018-GST, which expressly cautions officers against treating minor or technical errors as grounds for detention. The intent of this circular was to ensure proportionality — that the penalty must match the gravity of the infraction. Yet, in practice, field officers often invoke Section 129 mechanically, even in the absence of any element of tax evasion or fraudulent intent.

In the author's opinion, this case reaffirms a critical safeguard for taxpayers: in the absence of mens rea or material evidence of evasion, the seizure of goods is a misuse of authority. Rule 138A requires the person in charge of a conveyance to carry certain documents, but it does not authorize detention when those documents are subsequently produced and found genuine. Once the delivery challan was presented and accepted by the appellate authority, the foundation for seizure ceased to exist.

This decision also resonates with the ruling in *Varun Beverages Ltd. v. State of U.P.* (2024(2) TMI 655 ALLAHABAD HIGH COURT), where the Allahabad High Court clarified that technical lapses—like minor document discrepancies—should be addressed under Section 125 with a nominal penalty, not under Section 129 which presupposes tax evasion.



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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

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&A**
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Can proceedings under Section 74 of the CGST Act be sustained without proving fraud, wilful misstatement, or suppression of facts?

No, the Hon'ble Allahabad High Court in *M/s Khurja Scrap Trading Company v. Additional Commissioner Grade-2 (Appeal) & Another [Writ Tax No. 743 of 2023, decided on 29.08.2025, 2025: AHC:151793; 2025 (9) TMI 53 – Allahabad High Court]* held that proceedings under Section 74 can only be invoked where there is clear evidence of fraud, wilful misstatement, or suppression of facts to evade tax. In the present case, the petitioner challenged the orders passed under Section 74 of the CGST/UPGST Act on the ground that no element of fraud, misrepresentation, or suppression had been established by the department. The petitioner had purchased goods from a registered dealer, duly reported such transactions in its returns, and claimed ITC based on valid tax invoices. The selling dealer's registration was subsequently cancelled, leading the department to issue a show cause notice under Section 74, alleging wrongful availment of ITC. The petitioner contended that its purchases were genuine, payments were made through banking channels, and all transactions were reflected in GSTR-2A. The Hon'ble High Court observed that invocation of Section 74 presupposes existence of fraud, wilful misstatement, or suppression of facts with an intent to evade tax. Mere cancellation of the supplier's registration at a later date, without a finding of collusion or dishonest conduct by the purchaser, cannot justify proceedings under Section 74. The Court noted that the authorities had failed to verify available data on the GST portal, including GSTR-2A and GSTR-3B, before drawing adverse conclusions. As no finding of fraud or suppression was recorded, the impugned orders suffered from a jurisdictional error. Accordingly, the orders were set aside and the matter was remanded back for fresh consideration in accordance with law, after proper verification of GST records.

Author's Comments:

Section 74 is not meant for mere procedural lapses or clerical mismatches, but for cases involving clear fraudulent conduct, wilful misstatement, or suppression of material facts.

The terms "fraud," "wilful misstatement," and "suppression of facts" are mutually exclusive, each carrying a distinct evidentiary threshold. A show cause notice that invokes all three simultaneously reflects mechanical application of mind and renders the proceedings jurisdictionally defective. The department must specifically identify – (i) which of the three circumstances applies, (ii) the precise act constituting such misconduct, and (iii) the evidence substantiating the same. A failure in any of these steps vitiates the very foundation of the proceedings.

Further, mere cancellation of the supplier's registration does not, by itself, establish fraud or suppression by the recipient. Evidence must be contemporaneous, cogent, and probative – capable of demonstrating that the taxpayer actively participated in or had knowledge of the fraudulent activity. Section 74 proceedings cannot be based on presumptions, conjectures, or retrospective inferences.

Further, Revenue cannot approbate and then reprobate on the same issue to demand reversal of ITC. Petitioner is admitted in Impugned order to be a Trader, that is, if outward supplies of a trader are genuine then inward supplies are also genuine. But if inward supplies are (allegedly) non-genuine then Revenue ought to have demand and appropriated output tax under section 76 of CGST Act, 2017. In absence of any objections to genuineness of outward supplies of the petitioner, no aspersions can be lawfully cast on genuine inward supplies from the said supplier.



ABOUT THE AUTHOR

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



Mr. Ritesh Arora is a distinguished Chartered Accountant with over 12 years of focused expertise in Indirect Taxation, with a special emphasis on GST litigation, advisory, and appellate matters. A Fellow Member of the ICAI, he qualified in 2013 and has since emerged as a trusted name in the field of GST, known for his deep legal insight and strategic approach to complex tax disputes.

His core areas of practice include appellate proceedings, departmental audits, inspection and search cases, and legal strategy formulation under the GST regime. His strong command over GST jurisprudence and nuanced understanding of procedural intricacies make him a sought-after consultant for challenging matters.

Professional Credentials:

- Author of 'GST Gavel – A Litigation Guide'
- Specialist in GST litigation and advisory services
- Special Invitee Member of Indirect Taxes Committee of NIRC of ICAI 2025-26
- Vice Chairman of ICAI Amritsar Branch (2024-25)
- NICASA Chairman of ICAI Amritsar (2024-25)
- Previous Treasurer of ICAI Amritsar (2022-23, 2023-24)
- Speaker and contributor to professional development in taxation and finance

Beyond his professional accomplishments, CA Ritesh Arora is also a former National Silver Medalist and Punjab Gold Medalist in Judo at CBSE National Tournaments—an early testament to his discipline and competitive spirit. With a unique blend of subject-matter expertise, courtroom experience, and a passion for simplifying complex tax laws, CA Ritesh Arora continues to make a meaningful impact as a practitioner, author, speaker, and mentor in India's evolving GST landscape

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

ABOUT THE FIRM

Ritesh Arora & Associates is a multidisciplinary Chartered Accountancy firm with a specialized focus on GST litigation & indirect taxation and a comprehensive portfolio of accounting & book-keeping, audit, tax, advisory, outsourcing, and CFO services. Founded with the vision of delivering practical, legally sound, and business-focused solutions, we empower businesses, startups, and individuals to stay compliant, resolve disputes, and make confident financial decisions.

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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



ritesh@riteshglobalca.com



www.riteshglobalca.com